THE NATIONAL COMPANY LAW TRIBUNAL
COURT V, NEW DELHI
SPECIAL BENCH

IA- 17/2025
IN
CA (CAA)-48/ND/2023

Under Rule 32 read with rule 11 of National Company Law Tribunal (NCLT) Rules, 2016

IN THE MATTER OF:

Prompt Steels Private Limited
Registered Office at: B- 3/7, 1st Floor, Yamuna Vihar, Delhi, 110053.

...Transferor Company/Applicant Company-1

AND

Fancy Multitrade Private Limited
Registered office at: B- 3/7, 1st Floor, Yamuna Vihar, Delhi, 110053.

...Transferor Company/Applicant Company-2

AND

Prompt Enterprises Private Limited
Registered office at: B- 3/7, 1st Floor, Yamuna Vihar, Delhi, 110053.

...Transferee Company/Applicant Company-3

Order Pronounced on: 27.03.2025

CORAM:

SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)
MS. ANU JAGMOHAN SINGH, HON'BLE MEMBER (TECHNICAL)

APPEARANCES:

For the Applicant: Ms. Visakha Raghuram, Adv.

ORDER

PER: MAHENDRA KHANDELWAL, MEMBER (JUDICIAL)

1. This application has been filed under Rule 32 read with Rule 11 of the NCLT Rules, 2016 seeking condonation of delay in filing the second motion petition before this Tribunal on behalf of the Applicant companies.
2. The applicant in the present application has prayed for the following reliefs: -
   a) *Pass an order condoning the delay of 446 days in filing the second motion petition under Section 230 to Section 232 of the Companies Act, 2013 on behalf of the Petitioner Companies.*
   b) *Pass such further or other order or orders as this the Hon'ble Tribunal may deem fit and proper in the circumstances of this case and further justice.*
3. **Briefly stated the facts of the case as mentioned in the instant application, which are just and necessary for adjudication, are as follows: -**
   (a) That the present application is filed on behalf of the Applicant Companies under Rule 32 read along with Rule 11 of National Company Law Tribunal Rules, 2016, seeking approval from this Tribunal to condone the delay of 446 Days in the filing the second motion petition under Section 230 - 232 of the Companies Act, 2013 seeking sanction of Scheme of Arrangement for Amalgamation ('Scheme') between the Applicant Companies.
   (b) The Applicant Companies had made an application under Section 230(1) of the Companies Act, 2013 before this Tribunal bearing Company Application No. CA(CAA) 48/(ND)/2023 seeking directions for convening/dispensation of meetings of equity shareholders, secured and unsecured creditors of the Applicant Companies. Upon consideration, this Tribunal vide its order dated August 02, 2023 had dispensed with the requirement of convening and holding meetings of equity shareholders, and unsecured creditors of the Applicant Company 1 and the Applicant Company 2 and ordered the directions for convening the meetings of the equity shareholders, secured and unsecured creditors of the Applicant Company 3. The Applicant Company 3 in compliance

with the said Order, scheduled the meetings of its equity shareholders, secured and unsecured creditors on September 22, 2023.

(c) Further, on September 22, 2023, all the equity shareholders, secured and unsecured creditors of the Applicant Company 3 present at their respective meetings unanimously voted in favor of the Scheme. That as directed in the Order, the report of the Chairperson of the said meeting of the equity shareholders, secured and unsecured creditors of the Applicant Company 3 was duly filed before this Tribunal on September 29, 2023 vide filing No. 0710102030072023. However, due to an unfortunate series of family events during the past year, the Authorized Representative was constrained from filing the Petition on behalf of the Applicant Companies with the Tribunal within the statutory period of 7 (seven) days.

(d) In January 2023, the Authorized Representative lost his father after a prolonged illness. Further, in December 2023, the mother-in-law, of the Authorized Representative who had been struggling in the hospital, passed away. Recently, in July 2024, the Authorized Representative experienced the sad demise of his grandmother. Further, the aforesaid demise caused him immense emotional distress, further delaying his ability to fulfil professional obligations. Due to these challenges, managing the professional obligations proved challenging for the Authorized Representative which led to such inordinate delay in filing of the Petition on behalf of the Applicant Companies. Hence, the present application.

Analysis and Findings

4. We have heard the Learned Counsel for the Applicant and further perused the documents on record.

5. The present application has been filed by the Applicant Companies through Authorized Representative seeking condonation of delay of 446 days in the filing the second motion petition under Section 230-232 of the Companies Act, 2013 for seeking sanction of Scheme of Arrangement for Amalgamation ('Scheme') between the Applicant Companies. It is the contention of the Applicant that due to an unfortunate series of family events during the past

year, the Authorized Representative of the Applicant Companies was constrained from filing the petition on behalf of the Applicant Companies within the statutory period. The details of such unfortunate series of family events of Authorized Representative are demise of his Father in January 2023, mother in law in December 2023 and grandmother in July 2024 due to which he was emotionally in trauma and due to such loss he was occupied in taking care of his family matters and he was unable to perform his professional obligations.

6. However, it is observed that the grounds laid down for condonation of delay in the instant application is only with respect to the unfortunate event taken place in the family of Authorized Representative of the Applicant Companies. It is evident that the second motion petition under Section 230-232 was not filed only due to difficulty on account of the Authorized Representative. It is not the case of the Applicant Companies that during the period of 446 days all the companies were not functional. Merely having some problem in the family of the Authorized Representative do not preclude the company for taking necessary steps for filing the second motion petition within the stipulated period.

7. Further, there is a huge delay of 446 days in filing the instant application, which indicates that the Applicant Companies themselves were not vigilant in filing the second motion petition. Moreover, it is pertinent to mention that the Applicant Companies always had the option of appointing another Authorized Representative, however, they failed to do so. As per Rule 15 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 second motion petition is to be filed within 7 days of the filing of the report by the chairperson. When the statute provides only 7 days for filing the petition, it has to be filed within that period. There is a purpose behind providing such a short period, as with the passage of time there may be change in the list of shareholders, secured creditors, unsecured creditor, and other financial aspects of the companies. In such situation delay of 446 days that too on the account of problem in the family of Authorized Representative cannot be considered as a sufficient ground.

8. In light of the above observations, we do not find any substantial and sufficient ground to condone the delay of 446 days in the instant application and we deem it fit to dismiss the instant application. With the aforesaid observation, **IA No. 17 of 2025 in CA (CAA)-48/ND/2023** stands **dismissed.**

Let a copy of the order be served to the Parties.

Sd/-
(ANU JAGMOHAN SINGH)
MEMBER (TECHNICAL)

Sd/-
(MAHENDRA KHANDELWAL)
MEMBER (JUDICIAL)